

Investing for your child

Three ways to start early.

Sukanya Samriddhi, NPS Vatsalya and children's mutual funds. What each one does, and how to open it.

Whenever a friend has a baby, the same question comes up a few months later: "Where should we start saving for the kid?" There are lots of options, and most of the advice mixes them up. So I put the three most common ones side by side, checked the latest rules for each, and wrote down the exact steps to open them. Pick one, or combine two. The earlier you start, the more time does the work.

- 1 Sukanya Samriddhi Yojana** is for a girl child. Government-backed, 8.2% a year right now, and fully tax-free.
- 2 NPS Vatsalya** is a pension account in your child's name. Start with just ₹250 a year and let it grow for decades.
- 3 Children's mutual funds** invest in the market for goals like college. Higher growth potential, with ups and downs along the way.

SSY RATE

8.2%

VATSALYA MINIMUM

₹250

FUND LOCK-IN

5 yrs

BEST AGE TO START

Day one

All three, *side by side*

If you only read one page, read this one. Each option is built for a different job.

	SUKANYA SAMRIDHI (SSY)	NPS VATSALYA	CHILDREN'S MUTUAL FUND
Who it's for	Girl child below 10	Any child below 18 (NRI/OCI too)	Any child (invest in their name or yours)
Returns	8.2% fixed by government (reset every quarter)	Market-linked, depends on the fund mix you choose	Market-linked, depends on the fund
Minimum	₹250 a year	₹250 a year	Usually ₹500 to ₹1,000 (SIP)
Maximum	₹1.5 lakh a year	No limit	No limit
Lock-in	Matures 21 years from opening	Till 18, with some withdrawals allowed after 3 years	5 years or till child turns 18, whichever comes first
Tax	Tax-free at all 3 stages (80C, old regime)	Deduction under 80CCD(1B), old regime	Gains taxed as capital gains
Risk	Very low	Moderate	Moderate to high
Best for	A safe, fixed base for her education or marriage	Very long-term wealth and a head start on retirement	Growth for a goal 8 to 15 years away

Rates and rules as of September 2026. SSY rate is for the July to September 2026 quarter.

HOW I'D THINK ABOUT IT

SSY is the safe base. A children's fund is the growth engine. Vatsalya is the long game. You don't have to pick only one.

1 ₹5,000 a month, what it could become

OPTION	YOU PUT IN	COULD BECOME	ASSUMPTION
SSY	₹9 lakh over 15 years	₹27.7 lakh	8.2% held for the full 21 years
Fund or Vatsalya at 10%	₹10.8 lakh over 18 years	₹28.8 lakh	Assumed 10% a year, not guaranteed
Fund or Vatsalya at 12%	₹10.8 lakh over 18 years	₹35.6 lakh	Assumed 12% a year, not guaranteed

My own calculation, rounded. SSY assumes deposits before the 5th of each month and today's rate for all 21 years. Market returns are illustrative only.

SSY, *for your daughter*

A small savings scheme run by the government only for girls. You deposit for 15 years, and the account keeps earning till year 21.

2 The scheme at a glance

FEATURE	DETAILS
Who can open	A parent or legal guardian, for a girl below 10 years
How many	One account per girl, up to two girls per family (three if twins or triplets)
Interest rate	8.2% a year, compounded yearly (July to September 2026 quarter)
Deposit	₹250 minimum, ₹1.5 lakh maximum per financial year, in any number of instalments
Deposit period	15 years from the date of opening
Maturity	21 years from the date of opening. Interest keeps adding from year 16 to 21 with no new deposits
Tax	EEE: deposit gets 80C deduction (old regime), interest and maturity are tax-free
Missed a year?	Pay the minimum ₹250 plus ₹50 for each year missed to revive the account

Source: Ministry of Finance small savings rates for Q2 FY 2026-27; Sukanya Samriddhi Account Scheme, 2019.

3 When you can take money out

SITUATION	WHAT'S ALLOWED
Higher education	Up to 50% of the balance (as of the previous March), once she turns 18 or passes Class 10
Marriage	Account can be closed after she turns 18, from one month before to three months after the wedding
Special cases	Early closure after 5 years on compassionate grounds, like serious illness or the guardian's death
Maturity	Full balance paid to her at 21 years from opening

A SHORTCUT I USE NOW

Interest is calculated on the lowest balance between the 5th and the end of each month. Deposit before the 5th, or put the full year's amount in April, and you earn a little more every year.

Opening an SSY, *step by step*

SSY has to be opened in person, at a post office or an authorised bank. After that, most deposits can be done from your phone.

4 At the post office or bank

- 1 **Pick a branch.** Any post office, or banks like SBI, Bank of Baroda, HDFC, ICICI and Axis. Terms are the same everywhere.
- 2 **Ask for the SSY account opening form** and fill in her details and yours as guardian.
- 3 **Attach the documents** listed below. Self-attest the photocopies and carry the originals for checking.
- 4 **Make the first deposit.** Anything from ₹250 up to ₹1.5 lakh, by cash, cheque or DD.
- 5 **Collect the passbook.** Check her name, date of birth and the opening date before you leave.

5 Documents you need

FOR	CARRY THESE
Your daughter	Birth certificate (shows she's below 10)
You, as guardian	Aadhaar and PAN, address proof, passport-size photo
Twins or triplets	A medical certificate, if opening a third account

6 Depositing online after that

Post office account: link your SSY to the IPPB (India Post Payments Bank) app, then go to Post Office Services and pick Sukanya Samriddhi to deposit. **Bank account:** most banks show SSY in net banking or their app once it's opened there.

WHAT FINALLY SETTLED IT FOR ME

Set up a standing instruction for the first week of every month. Once it's automatic, you stop thinking about it and the account just grows.

A pension account, *from childhood*

NPS Vatsalya is the National Pension System, opened for a minor. You invest now, and your child can keep the same account for life.

7 The scheme at a glance

FEATURE	DETAILS
Who can open	A parent or guardian, for any Indian child below 18. NRI and OCI children included. The child is the only beneficiary
Contribution	₹250 minimum at opening and every year after. No upper limit. Family and friends can add too
Where money goes	A PFRDA-registered pension fund of your choice, in equity, government bonds and corporate debt
Tax	Deduction under Section 80CCD(1B) in the old regime, within the same ₹50,000 limit as your own NPS

Source: PFRDA (the NPS regulator), NPS Vatsalya Scheme Guidelines 2025, released 13 January 2026.

8 Choosing how it's invested

CHOICE	HOW IT WORKS
Auto choice	Pick a lifecycle fund (aggressive, moderate or conservative). The equity share is set for you
Active choice	You decide the split yourself between equity, government bonds and corporate debt
Default	If you don't choose, the moderate lifecycle fund is used

9 Withdrawals and what happens at 18

STAGE	WHAT'S ALLOWED
After 3 years	Partial withdrawal up to 25% of what you contributed, for education, medical treatment or specified disability. Twice before 18
Age 18 to 21	Child completes fresh KYC. Two more partial withdrawals allowed in this window
Decision by 21	Continue in Vatsalya, move to regular NPS (Tier I), or exit
On exit	Up to 80% as a lump sum, at least 20% into an annuity. If the corpus is ₹8 lakh or less, all of it can be taken out

Opening NPS Vatsalya, *online in minutes*

You can do it fully online through eNPS, or walk into a bank or post office that acts as an NPS point of presence.

10 Online through eNPS

- 1 **Go to the eNPS portal** (enps.nsdl.com, run by Protean) and choose NPS Vatsalya. The KFinTech and CAMS NPS portals work too.
- 2 **Register as the guardian** with your PAN, date of birth and mobile number. Verify with the OTP.
- 3 **Add your child's details** and upload their date-of-birth proof.
- 4 **Pick a pension fund and an investment choice** (auto or active). Add a nominee.
- 5 **Pay the first contribution** of ₹250 or more by net banking, UPI or debit card.
- 6 **E-sign with Aadhaar OTP**. Your child gets a PRAN (Permanent Retirement Account Number). Save it.

11 At a bank or post office

Most large banks (SBI, HDFC, ICICI, Axis and others) and many post offices are NPS points of presence (POP). Ask for the NPS Vatsalya form, attach the documents below and pay the first contribution at the counter.

12 Documents you need

FOR	CARRY THESE
Your child	Date-of-birth proof: birth certificate, school leaving certificate, PAN or passport
You, as guardian	PAN (or Form 60), plus Aadhaar, passport, voter ID or driving licence
NRI / OCI guardian	An NRE or NRO bank account in India for contributions

WHAT I MISSED THE FIRST TIME

Keep adding at least ₹250 every year, and set a small auto-debit so you don't miss it. The account stays active, and you can top up with bigger amounts whenever you have a bonus or a gift.

Growth for the *big goals*

SEBI has a separate category called Children's Funds. They invest mostly in equity or a mix of equity and debt, with a built-in lock-in to keep you invested.

13 The category at a glance

FEATURE	DETAILS
Type	Solution-oriented fund, usually equity-heavy or hybrid (equity + debt)
Lock-in	5 years, or till your child turns 18, whichever comes first
Minimum	Usually ₹500 to ₹1,000 a month by SIP, depending on the fund house
Returns	Market-linked. Good years and slow years average out over a long period
Regulator	SEBI (Securities and Exchange Board of India)

14 How gains are taxed

HELD FOR	EQUITY-ORIENTED FUND
More than 12 months	Long-term gains above ₹1.25 lakh a year taxed at 12.5%
12 months or less	Short-term gains taxed at 20% (rare here, thanks to the lock-in)
Fund in child's name	Gains are added to the parent's income (clubbing), with ₹1,500 a year exempt per child

Hybrid funds with less than 65% in equity are taxed differently. Check the fund's category before investing.

15 How to invest in your child's name

- 1 Open a bank account in your child's name** (a minor account with you as guardian). SIPs for a minor folio must come from this account.
- 2 Complete your KYC** as the guardian, if you haven't already for your own investments.
- 3 Choose a platform:** the fund house website, a registered app, or a distributor. Pick "minor" as the account type.
- 4 Upload proofs:** child's birth certificate or passport, and proof of your relationship.
- 5 Start the SIP** and add a date to your calendar for the day your child turns 18 to change the account from minor to major.

A simple plan *that works*

Many parents end up using two of these together. Here's how they fit by goal and by timeline.

16 Match the option to the goal

YOUR GOAL	GOOD FIT
Safe, fixed base for a daughter	SSY
College in 8 to 15 years	Children's fund, or an equity index fund
Very long-term head start	NPS Vatsalya
Using up your 80C in the old regime	SSY (plus Vatsalya for the extra 80CCD(1B))
A mix of safety and growth	SSY + children's fund, or Vatsalya + children's fund

WHAT EACH ONE DOES WELL

- SSY: fixed rate, government-backed, fully tax-free
- Vatsalya: starts at ₹250 and grows for decades
- Children's funds: market growth for big goals
- All three can run on auto-debit

GOOD TO KNOW

- SSY is for girls below 10, with a ₹1.5 lakh yearly cap
- Vatsalya exit at 21 has an annuity part above ₹8 lakh
- Fund values move with the market, so give them time
- Tax deductions apply in the old regime only

17 Your first-week checklist

- 1 **Get the birth certificate ready** and scan it. Every option asks for it.
- 2 **Decide the monthly amount** you can keep up even in a tight month.
- 3 **Open one account this week.** You can always add the second later.
- 4 **Turn on auto-debit** and add a nominee everywhere.

The glossary, *in plain words*

If a form or an agent uses one of these, here's what it means.

SSY

SUKANYA SAMRIDDHI YOJANA

Government savings scheme only for girl children, with a fixed rate.

"Ponnu kuzhandhaikkaana government savings."

PRAN

PERMANENT RETIREMENT ACCOUNT NUMBER

Your child's unique NPS account number. Stays the same for life.

"NPS ku oru permanent number."

80CCD(1B)

EXTRA NPS DEDUCTION

An additional ₹50,000 deduction for NPS contributions, above 80C. Old regime only.

"80C ku mela extra 50k NPS ku."

PFRDA

PENSION FUND REGULATORY AND DEVELOPMENT AUTHORITY

The regulator for NPS and NPS Vatsalya.

"NPS ah kavanikkira regulator."

Clubbing

SECTION 64(1A)

A minor's investment income is added to the parent's income for tax.

"Kuzhandhai income, appa amma income la serum."

NPS

NATIONAL PENSION SYSTEM

Government-regulated pension account that invests in equity and bonds.

"Retirement ku panam serkkira account."

EEE

EXEMPT, EXEMPT, EXEMPT

Tax-free when you put in, while it grows and when you take out.

"Moonu stage laiyum tax illa."

SIP

SYSTEMATIC INVESTMENT PLAN

A fixed amount invested in a mutual fund every month, automatically.

"Maasa maasam auto ah invest aagum."

LTCG

LONG-TERM CAPITAL GAINS

Profit on investments held over a year.

Equity LTCG above ₹1.25 lakh is taxed at 12.5%.

"Oru varusham mela vechirundha laabam."

KYC

KNOW YOUR CUSTOMER

ID and address check. Aadhaar, PAN and a photo, mostly.

"Nee jaarunu prove panra documents."

Vatsalya

NPS FOR MINORS

NPS account opened in a child's name, run by the parent till 18.

"Kuzhandhai peyarla NPS."

80C

INCOME TAX ACT, SECTION 80C

Cut up to ₹1.5 lakh from taxable income in the old regime. SSY qualifies.

"1.5 lakh varaikkum tax save pannalaam."

SEBI

SECURITIES AND EXCHANGE BOARD OF INDIA

The regulator for mutual funds and the stock market.

"Mutual fund ah kavanikkira government body."

Annuity

PENSION INCOME PLAN

A plan you buy with a lump sum that pays you a fixed amount regularly.

"Maasa maasam pension maadhiri varum."

POP

POINT OF PRESENCE

A bank or post office branch that's allowed to open NPS accounts.

"NPS open panna mudiyira branch."

Where the *numbers* come from

Every rule here was checked in September 2026. Small savings rates change every quarter, so check the latest before you open an account.

1. Ministry of Finance, Department of Economic Affairs. Small savings rates for Q2 FY 2026-27 (July to September 2026): SSY at 8.2%. Reported by Business Today, 30 June 2026.
2. Sukanya Samriddhi Account Scheme, 2019 (Government of India notification): eligibility, deposit limits, withdrawal and closure rules.
3. India Post: SSY documents, account opening and IPPB deposit process.
4. PFRDA, NPS Vatsalya Scheme Guidelines 2025, via PIB press release dated 13 January 2026: ₹250 minimum, withdrawals, exit at 18 to 21, 80:20 split and ₹8 lakh threshold.
5. Union Budget 2025-26: NPS Vatsalya contributions eligible under Section 80CCD(1B), old tax regime.
6. SEBI mutual fund categorisation: Children's Fund (solution-oriented), 5-year or age-18 lock-in.
7. Income Tax Act: equity LTCG at 12.5% above ₹1.25 lakh, STCG at 20% (from July 2024); clubbing under Section 64(1A).
8. ₹5,000-a-month projections: my own calculation, rounded. Market returns are assumptions, not predictions.

DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice, and it does not recommend any specific fund. I am not a SEBI-registered investment adviser. Mutual fund and NPS returns are market-linked and not guaranteed. The SSY rate shown applies to the July to September 2026 quarter only. Verify current terms with India Post, your bank, PFRDA or the fund house, and speak to a registered adviser before investing.

Know someone who just became a parent? *Send this to them.*

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